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Organizational Behavior



Learning Objectives

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PART 1. Identify the **focus** of individual behavior within organizations.

PART 2. Explain the role that **attitudes** play in job **performance**.

PART 3. Describe different **personality** theories.

Focus and Goals of Organizational Behavior

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Behavior - the actions of people.

Organizational behavior - the study of the actions of people at work.

Organization as Iceberg



Organizational behavior focuses on 3 major areas:

Individual behavior including attitudes, personality, perception, learning, and motivation.

Group behavior including norms, roles, team building, leadership, and conflict.

Organizational aspects including structure, culture, and human resource policies and practices.

Attitudes and Job Performance

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Attitudes – **evaluative statements**, either favorable or unfavorable, concerning objects, people, or events.

- An attitude is made up of three components: **cognition**, **affect**, and **behavior**.

Cognitive component – that part of an attitude that's made up of the beliefs, opinions, knowledge, or information held by a person.

- For instance, the belief that "discrimination is wrong"

Affective component – that part of an attitude that's the emotional or feeling part.

- Example, "I don't like Pat because he discriminates against minorities."

Behavioral component – that part of an attitude that refers to an intention to behave in a certain way toward someone or something.

- Example, I might choose to avoid Pat because of my feelings about him

Job Satisfaction, Job Involvement and Organizational Commitment

Three most widely known **job-related attitude** are:

Job Satisfaction	Job Involvement	Organizational Commitment
• A person with a **high level** of job satisfaction has a **positive attitude** toward his or her job. • A person who is dissatisfied has a negative attitude. • Job satisfaction is linked to **productivity**, **absenteeism**, **turnover**, **customer satisfaction**,**OCB**, and **workplace misbehavior**.	The degree to which an **employee identifies with his or her job**, actively participates in it, and considers his or her job performance to be important to self-worth.	The degree to which an **employee identifies with a particular organization** and its goals and wishes to maintain membership in that organization.

Personality

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Personality – the **unique combination** of **emotional**, **thought**, and **behavioral** patterns that affect how a person reacts to situations and interacts with others.

- The two most well-known approaches are the and the

Myers-Briggs Type Indicator® (MBTI)

Big Five Model

MBTI®

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MBTI® - a popular personality-assessment instrument.
Classifies individuals as exhibiting a preference in four categories:

Extraversion or introversion (E or I)	Sensing or intuition (S or N)	Thinking or feeling (T or F)	Judging or perceiving (J or P).

Examples of MBTI® Personality Types

Type	Description
I–S–F–P (introversion, sensing, feeling, perceiving)	Sensitive, kind, modest, shy, and quietly friendly. Such people strongly dislike disagreements and will avoid them. They are loyal followers and quite often are relaxed about getting things done.
E–N–T–J (extraversion, intuition, thinking, judging)	Warm, friendly, candid, and decisive; also skilled in anything that requires reasoning and intelligent talk, but may sometimes overestimate what they are capable of doing.

The Big Five Model

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Big Five Model – a personality trait model that includes:

1. *Extraversion*

The degree to which someone is sociable, talkative, assertive, and comfortable in relationships with others.

2. *Agreeableness*

The degree to which someone is good-natured, cooperative, and trusting.

3. *Conscientiousness*

The degree to which someone is reliable, responsible, dependable, persistent, and achievement oriented.

4. *Emotional stability*

The degree to which someone is calm, enthusiastic, and secure (positive) or tense, nervous, depressed, and insecure (negative).

5. *Openness to experience*

The degree to which someone has a wide range of interests and is imaginative, fascinated with novelty, artistically sensitive, and intellectual.

Emotions and Emotional Intelligence

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Emotions – intense feelings that are directed at someone or something.

Emotional Intelligence (EI) – the ability to notice and to manage emotional cues and information.

Emotional Intelligence (EI) is composed of five dimensions:

- ***Self-awareness***: The ability to be aware of what you're feeling.
- ***Self-management***: The ability to manage one's own emotions and impulses.
- ***Self-motivation***: The ability to persist in the face of setbacks and failures.
- ***Empathy***: The ability to sense how others are feeling.
- ***Social skills***: The ability to handle the emotions of others

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Leadership



Learning Objectives

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PART 1. Define **leader** and **leadership**.

PART 2. Compare and contrast **early theories of leadership**.

PART 3. Describe **contemporary views** of leadership.

PART 4. Discuss **twenty-first issues** affecting leadership.

Who Are Leaders and What Is Leadership?

- **Leader** – someone who can influence others and who has managerial authority.
  - **Leadership** – what leaders do; the process of influencing a group to achieve goals.
  - Ideally, all managers *should be* leaders.

Early Leadership Theories

Leadership Traits

Leadership Behaviors

Leadership Traits

Research focused on identifying **personal characteristics** that differentiate ***leaders*** from ***non-leaders*** was unsuccessful.

It proved **impossible to identify a set of traits that would *always* differentiate a leader** from a non-leader.

1. ***Drive.*** Leaders exhibit a high effort level. They have a relatively high desire for achievement, they are ambitious, they have a lot of energy, they are tirelessly persistent in their activities, and they show initiative.
2. ***Desire to lead.*** Leaders have a strong desire to influence and lead others. They demonstrate the willingness to take responsibility.
3. ***Honesty and integrity.*** Leaders build trusting relationships with followers by being truthful or nondeceitful and by showing high consistency between word and deed.
4. ***Self-confidence.*** Followers look to leaders for an absence of self-doubt. Leaders, therefore, need to show self-confidence in order to convince followers of the rightness of their goals and decisions.
5. ***Intelligence.*** Leaders need to be intelligent enough to gather, synthesize, and interpret large amounts of information, and they need to be able to create visions, solve problems, and make correct decisions.
6. ***Job-relevant knowledge.*** Effective leaders have a high degree of knowledge about the company, industry, and technical matters. In-depth knowledge allows leaders to make well-informed decisions and to understand the implications of those decisions.
7. ***Extraversion.*** Leaders are energetic, lively people. They are sociable, assertive, and rarely silent or withdrawn.
8. ***Proneness to guilt.*** Guilt proneness is positively related to leadership effectiveness because it produces a strong sense of responsibility for others.

Leadership Behaviors

Behavioral theories – leadership theories that **identify behaviors** that **differentiated** effective leaders from ineffective leaders.

Predicting leadership success involved something **more complex** than isolating a **few leader traits** or **preferable behaviors**.

	Behavioral Dimension	Conclusion
University of Iowa	*Democratic style:* involving subordinates, delegating authority, and encouraging participation *Autocratic style:* dictating work methods, centralizing decision making, and limiting participation *Laissez-faire style:* giving group freedom to make decisions and complete work	Democratic style of leadership was most effective, although later studies showed mixed results.
Ohio State	*Consideration:* being considerate of followers' ideas and feelings *Initiating structure:* structuring work and work relationships to meet job goals	High–high leader (high in consideration and high in initiating structure) achieved high subordinate performance and satisfaction, but not in all situations
University of Michigan	*Employee oriented:* emphasized interpersonal relationships and taking care of employees' needs *Production oriented:* emphasized technical or task aspects of job	Employee-oriented leaders were associated with high group productivity and higher job satisfaction.
Managerial Grid	*Concern for people:* measured leader's concern for subordinates on a scale of 1 to 9 (low to high) *Concern for production:* measured leader's concern for getting job done on a scale of 1 to 9 (low to high)	Leaders performed best with a 9,9 style (high concern for production and high concern for people).

Contemporary Views of Leadership

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Leader-member exchange theory

: leaders create **in-groups** and **out-groups** and those in the in-group will have higher performance ratings, less turnover, and greater job satisfaction.

Transformational-transactional leadership

Transactional leaders - leaders who lead primarily by **using social exchanges** (or transactions).

Transformational leaders - leaders who stimulate and **inspire** (transform) followers to achieve extraordinary outcomes.

Charismatic-visionary leadership

Charismatic leader - an **enthusiastic, self-confident** leader whose personality and actions **influence people** to behave in certain ways.

Visionary leadership - the ability to create and **articulate a realistic**, credible, and attractive **vision** of the future that improves upon the present situation.

Team leadership

Team Leadership - many leaders are not equipped to handle the **change to employee teams**.

A team leader's job is to focus on two priorities:

1. Managing the team's external boundary.
2. Facilitating the team process.

Leadership Issues in the Twenty-First Century

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- Managing Power
- Developing Trust
- Empowering Employees
- Leading Across Cultures
- Becoming an Effective Leader

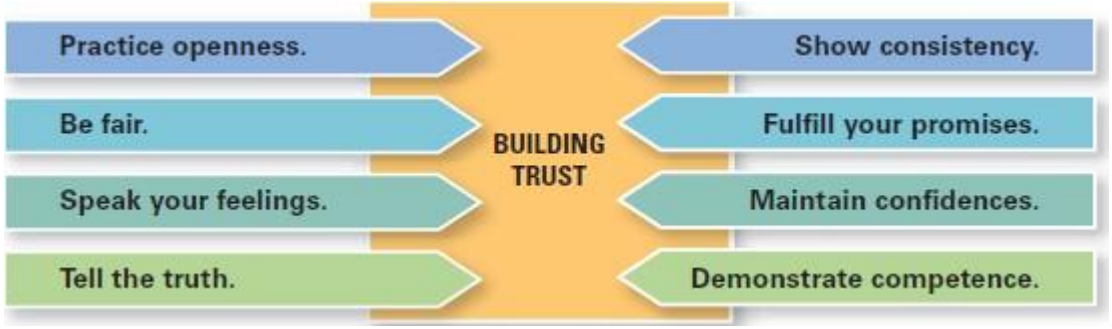
Managing Power

- **Legitimate power** – the power a leader has as a result of his or her position.
- **Coercive power** – the power a leader has to punish or control.
- **Reward power** – the power to give positive benefits or rewards.
- **Expert power** – the influence a leader can exert as a result of his or her expertise, skills, or knowledge.
- **Referent power** – the power of a leader that arises because of a person's desirable resources or admired personal traits.

Developing Trust

Credibility – the **degree to which followers perceive** someone as honest, competent, and able to inspire.

Trust – the **belief** in the **integrity**, character, and ability of a leader.



Five Dimensions of the Concept of Trust

- ***Integrity***: honesty and truthfulness
- ***Competence***: technical and interpersonal knowledge and skills
- ***Consistency***: reliability, predictability, and good judgment in handling situations
- ***Loyalty***: willingness to protect a person, physically and emotionally
- ***Openness***: willingness to share ideas and information freely

Empowering Employee

Empowerment – increasing the decision-making **discretion of workers** such that teams can make **key operating decisions** in developing budgets, scheduling workloads, controlling inventories, and solving quality problems.

- ✔ One reason more companies are empowering employees is the need for quick decisions by those people who are most knowledgeable about the issues—often those at lower organizational levels.
- ✔ Another reason is that organizational downsizings left many managers with larger spans of control

Leadership Across Cultures

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Effective leaders do not use a single style. They **adjust their style to the situation**.

National culture is certainly an important situational variable in determining which leadership style will be most effective.

- Korean leaders are expected to be paternalistic toward employees.
- Arab leaders who show kindness or generosity without being asked to do so are seen by other Arabs as weak.
- Japanese leaders are expected to be humble and speak frequently.
- Scandinavian and Dutch leaders who single out individuals with public praise are likely to embarrass, not energize, those individuals.
- Effective leaders in Malaysia are expected to show compassion while using more of an autocratic than a participative style.
- Effective German leaders are characterized by high performance orientation, low compassion, low self-protection, low team orientation, high autonomy, and high participation.

Becoming an Effective Leader

- **Leader Training**
  - Training is more likely to be **successful** with individuals who are **high self-monitors** than those who are low self-monitors.
  - Individuals with **higher levels of motivation** to lead are more receptive to leadership development opportunities.

- **Substitutes for Leadership**
  - Follower characteristics such as experience, training, professional orientation, or need for independence can **neutralize the effect of leadership**

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Motivation



Learning Objectives

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PART 1. Define **motivation**.

PART 2. Compare and contrast **early theories of motivation**.

PART 3. Compare and contrast **contemporary theories of motivation**.

PART 4. Discuss **current issues** in motivation.

What Is Motivation?

Motivation – the process by which a **person's efforts are energized**, **directed**, and **sustained** toward attaining a goal.

- ***energy*** is a measure of intensity, drive, and vigor
- effort is channeled in a ***direction*** that benefits the organization
- we want employees to ***persist*** in putting forth effort

Early Theories of Motivation

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- Maslow's *Hierarchy of Needs*
- McGregor's *Theories X and Y*
- Herzberg's *Two-Factor Theory*
- McClelland's *Three Needs Theory*

Maslow's Hierarchy of Needs Theory

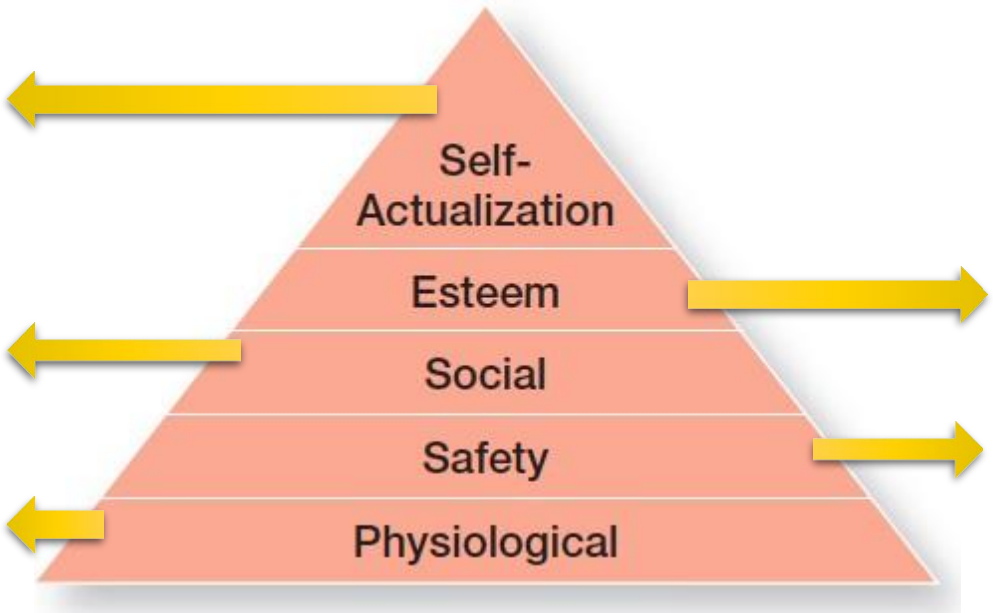
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Hierarchy of needs theory – Maslow's theory that human needs—physiological, safety, social, esteem, and self-actualization—form a sort of hierarchy.

Self-actualization needs – a person's need to become what he or she is capable of becoming.

Social needs – a person's needs for affection, belongingness, acceptance, and friendship.

Physiological needs – a person's needs for food, drink, shelter, sexual satisfaction, and other physical needs.



Esteem needs – a person's needs for internal factors (e.g., self-respect, autonomy, and achievement) and external factors (such as status, recognition, and attention).

Safety needs – a person's needs for security and protection from physical and emotional harm.

McGregor's Theory X and Theory Y



Theory X - the assumption that **employees dislike work**, are **lazy**, avoid responsibility, and must be coerced to perform.

Theory Y - the assumption that **employees are creative, enjoy work, seek responsibility**, and can exercise self-direction.

Herzberg's Two-Factor Theory

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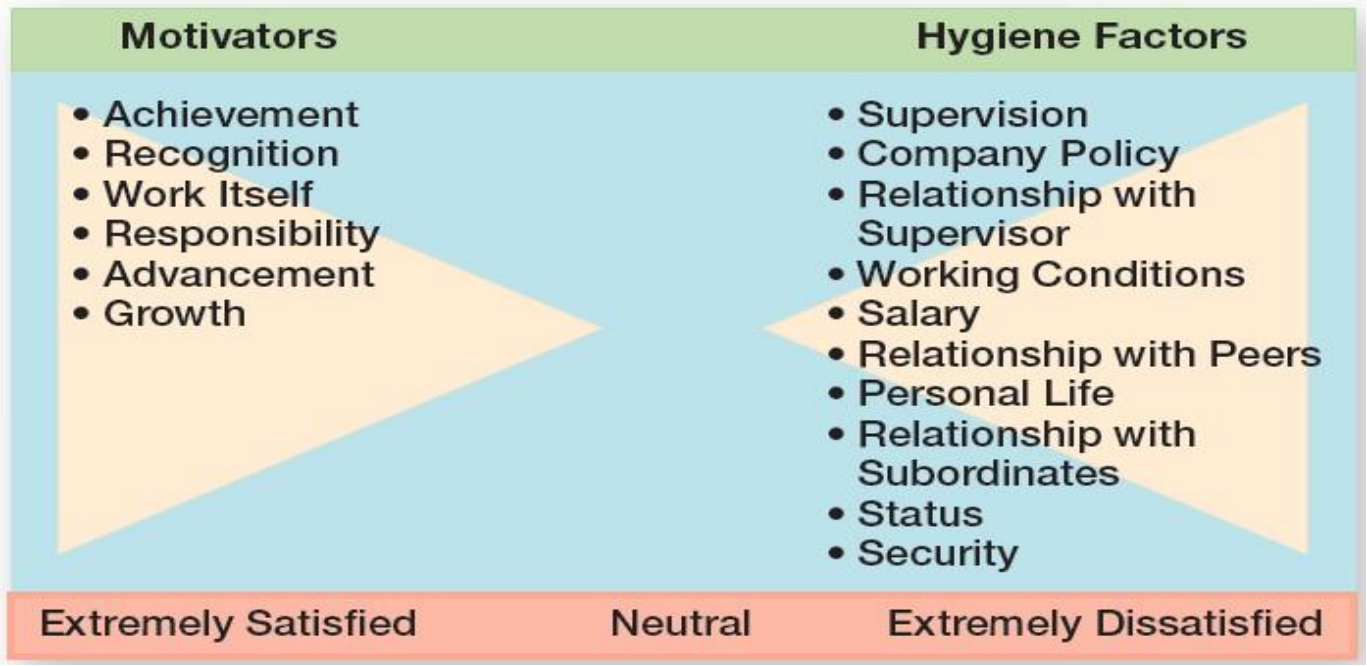
Two-factor theory (motivation-hygiene theory) – the motivation theory that claims that intrinsic factors are related to job satisfaction and motivation, whereas extrinsic factors are associated with job dissatisfaction.

Hygiene factors

- factors that eliminate job dissatisfaction, but don't motivate.

Motivators

- factors that increase job satisfaction and motivation.



Three-Needs Theory

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Three-needs theory – the motivation theory that sites three acquired (non-innate) needs (achievement, power, and affiliation) as major motives in work.

- **Need for achievement (nAch)** – the drive to succeed and excel in relation to a set of standards.
- **Need for power (nPow)** – the need to make others behave in a way that would not have behaved otherwise.
- **Need for affiliation (nAff)** – the desire for friendly and close interpersonal relationships.

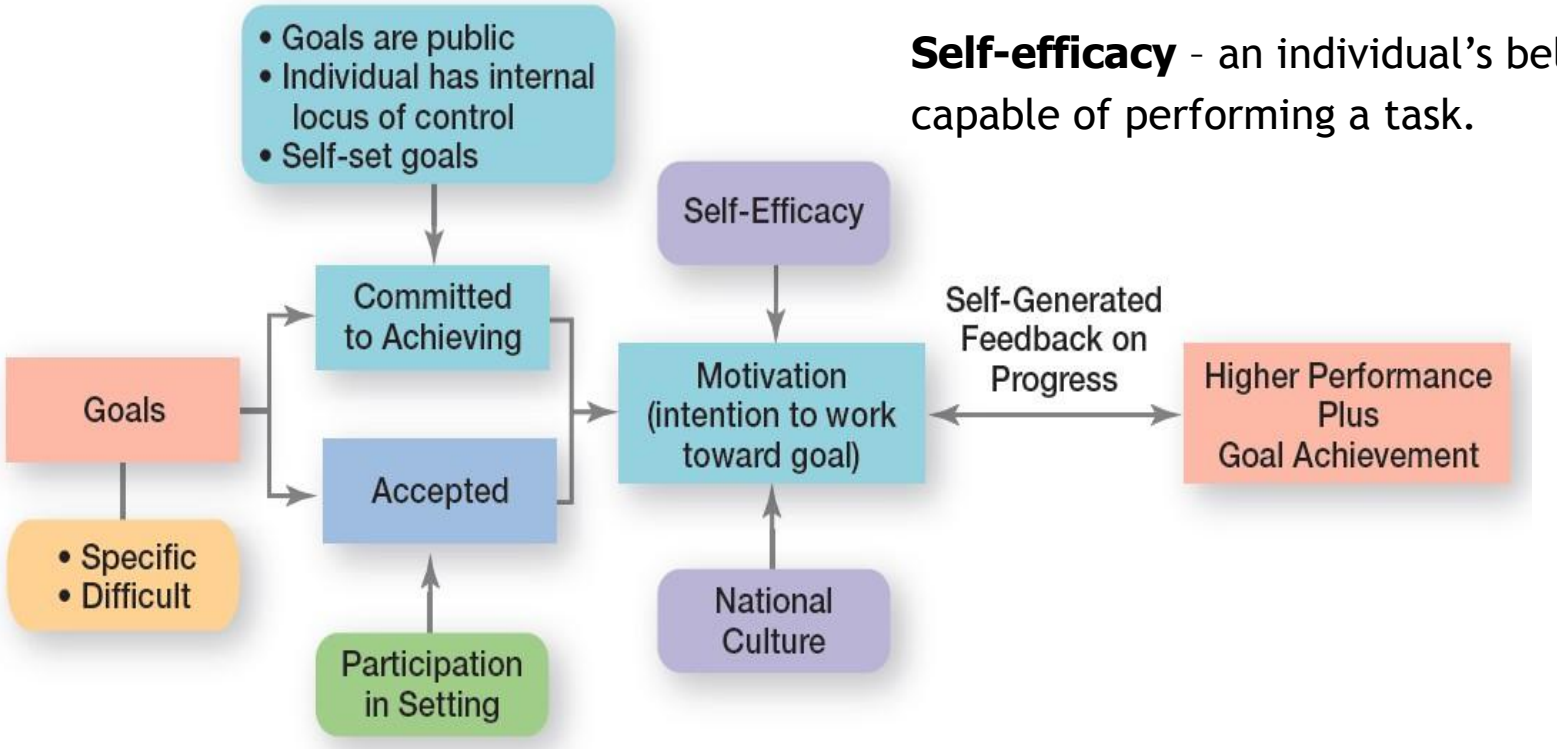
Contemporary Theories of Motivation

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- **Goal-setting theory**
- **Reinforcement Theory**
- **Designing Motivating Job**
- **Equity Theory**
- **Expectancy Theory**

Goal Setting Theory

Goal-setting theory – the proposition that **specific goals increase performance** and that **difficult goals**, when **accepted**, result in **higher performance** than do easy goals.



Self-efficacy – an individual's belief that he or she is capable of performing a task.

Reinforcement Theory

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- **Reinforcement theory** – the theory that behavior is a function of its consequences.
- **Reinforcers** – consequences immediately following a behavior which increase the probability that the behavior will be repeated.

Positive Reinforcement	• When a behavior is followed by **something pleasant**, such as praising an employee for a job well done, it's called positive reinforcement. • Positive reinforcement increases the **likelihood that the desired behavior will be repeated**.
Negative Reinforcement	• Rewarding a response by **eliminating or withdrawing something unpleasant** is negative reinforcement.

Designing Motivating Jobs

Job design - the way tasks are combined to form complete jobs.

Job scope - the number of different tasks required in a job and the frequency with which those tasks are repeated.

Job enlargement - the horizontal expansion of a job that occurs as a result of increasing job scope.

Job enrichment - the vertical expansion of a job that occurs as a result of additional planning and evaluation of responsibilities.

Job depth - the degree of control employees have over their work.

Job characteristics model (JCM) - a framework for analyzing and designing jobs that identifies five primary core job dimensions, their interrelationships, and their impact on outcomes.

Job Characteristics Model



Equity Theory

Equity theory – the theory that an employee compares his or her job's input-outcome ratio with that of relevant others and then corrects any inequity.

Referents – the persons, systems, or selves against which individuals compare themselves to assess equity.

Distributive justice

perceived fairness of the amount and allocation of rewards among individuals.

Procedural justice

- perceived fairness of the process used to determine the distribution of rewards.

Perceived Ratio Comparison[a]			*Employee's Assessment*
$\frac{\text{Outcomes A}}{\text{Inputs A}}$	<	$\frac{\text{Outcomes B}}{\text{Inputs B}}$	Inequity (underrewarded)
$\frac{\text{Outcomes A}}{\text{Inputs A}}$	=	$\frac{\text{Outcomes B}}{\text{Inputs B}}$	Equity
$\frac{\text{Outcomes A}}{\text{Inputs A}}$	>	$\frac{\text{Outcomes B}}{\text{Inputs B}}$	Inequity (overrewarded)

Expectancy Theory

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Expectancy theory –an individual tends to act in a certain way based on the **expectation** that the act will be followed by a given **outcome** and on the **attractiveness** of that outcome to the individual.

Expectancy Relationships

Expectancy (effort-performance linkage)

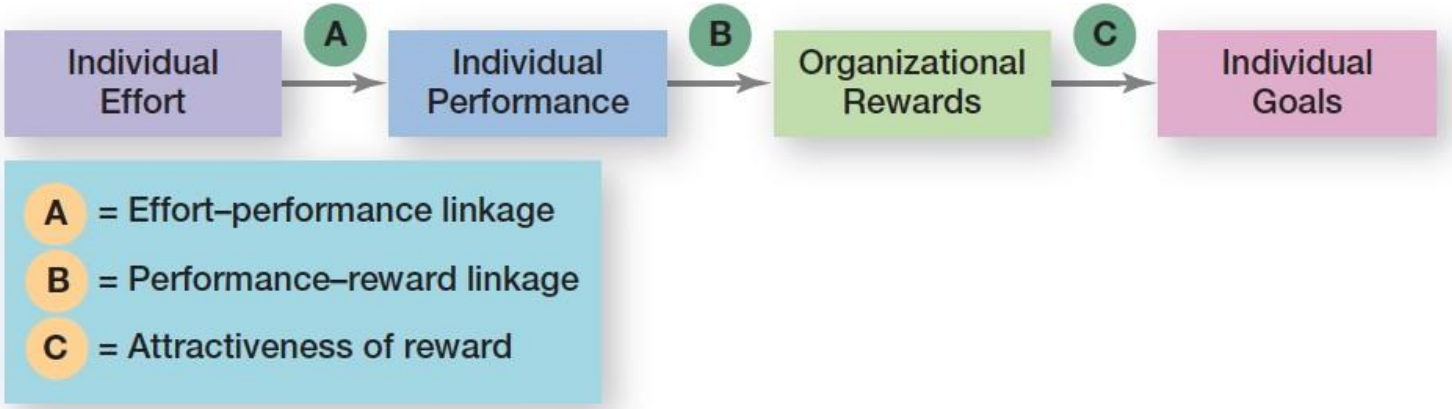
- The perceived probability that an individual's effort will result in a certain level of performance.

Instrumentality

- The perception that a particular level of performance will result in attaining a desired outcome (**reward**).

Valence

- The attractiveness/importance of the performance reward (**outcome**) to the individual.



Current Issues in Motivation

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- Managing Cross-Cultural Motivational Challenges
- Motivating Unique Groups of Workers
- Designing Appropriate Rewards Programs

Managing Cross-Cultural Motivational Challenges

- Most current motivation theories were developed in the United States by Americans and about Americans.
- Managers can't automatically assume motivational programs that work in one geographic location are going to work in others.

Motivating Unique Groups of Workers

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Motivating a diverse workforce	Motivating Professionals	Motivating Contingent Workers	Motivating Low-Skilled, Minimum-Wage Employees
• Compressed workweek - Longer daily hours, but fewer days. • Flexible work hours (flextime) - Specific weekly hours with varying arrival, departure, lunch and break times around certain core hours during which all employees must be present. • Job Sharing - Two or more people split a full-time job. • Telecommuting - Employees work from home using computer links.	• Characteristics of professionals • Strong and long-term commitment to their field of expertise • Loyalty is to their profession, not to the employer • Have the need to regularly update their knowledge • Don't define their workweek as 8:00 am to 5:00 pm.	• Opportunity to become a permanent employee • Opportunity for training • Equity in compensation and benefits	• Employee recognition programs • Provision of sincere praise

Designing Appropriate Rewards Programs

Open-book management

- a motivational approach in which an organization's financial statements (the "books") are shared with all employees.

Employee recognition programs

- programs based on personal attention and expression of interest, approval, and appreciation for a job well done.

Pay-for-performance programs

- variable compensation plans that pay employees on the basis of some performance measure.

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Controlling Activities



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PART 1. Explain the **nature** and **importance** of **control**.

PART 2. Describe the **three steps** in the **control process**.

PART 3. Explain how organizational and employee **performance** are **measured**.

PART 4. Describe **tools** used to **measure** organizational **performance**.

PART 5. Discuss **contemporary issues** in control.

What Is Controlling?

Controlling – the process of **monitoring**, **comparing**, and **correcting** work performance.

The Purpose of Control

To **ensure** that activities are **completed** in ways that lead to the accomplishment of organizational goals.



Planning-Controlling Link

Why Is Controlling Important?

As the final link in management functions:

Planning	• Controls let managers know whether their **goals and plans are on target** and what future actions to take.
Empowering employees	• Control systems provide managers with information and **feedback on employee performance**.
Protecting the workplace	• Controls enhance **physical security** and help **minimize workplace disruptions**.

The Control Process

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Control process - a three-step process of **measuring actual performance**, **comparing** actual performance against a **standard**, and taking managerial action to **correct deviations** or inadequate standards.

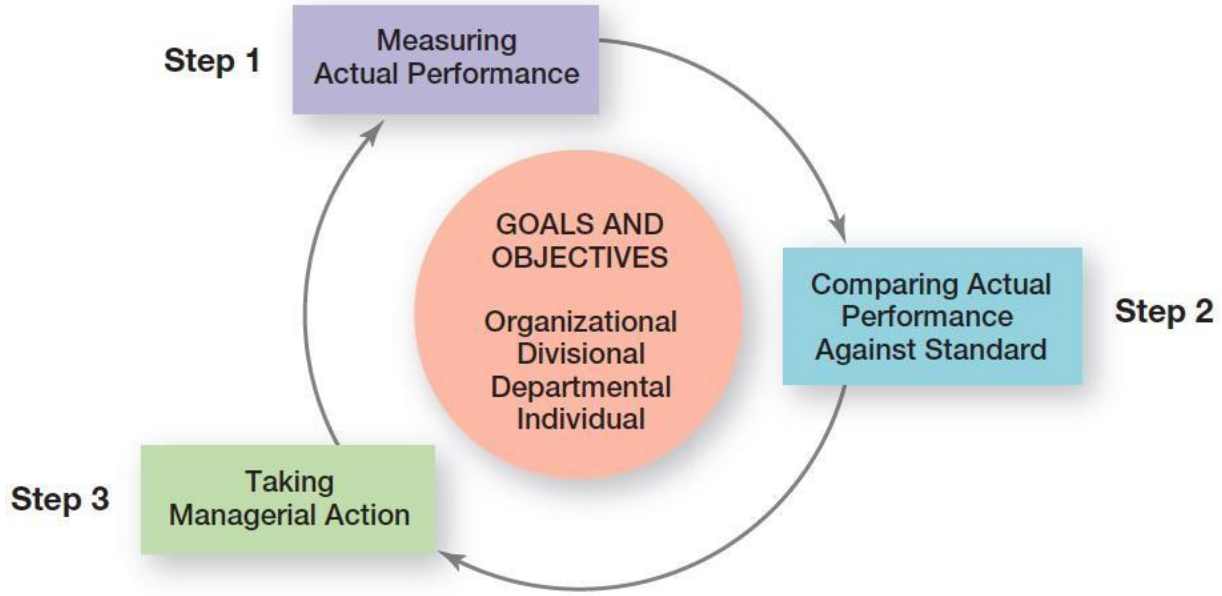
Step 1: Measuring Actual Performance

How We Measure

- Personal observations, statistical reports, oral reports, and written reports.

What We Measure

- What is measured is probably more critical to the control process than how it's measured.



Sources of Information for Measuring Performance

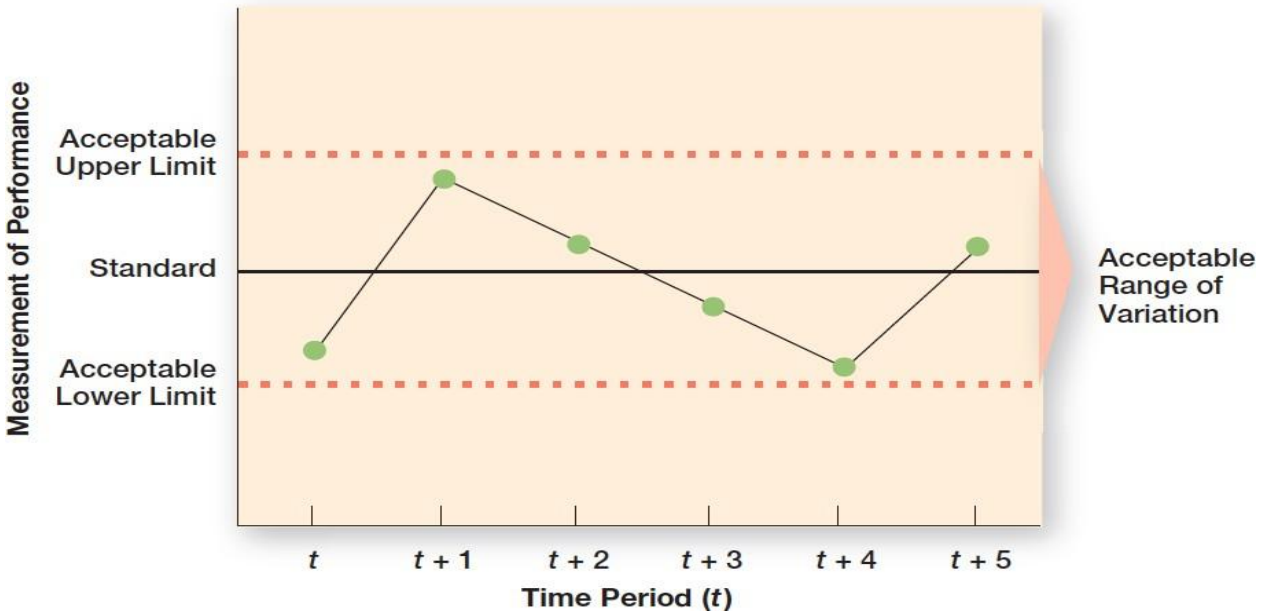
	Benefits	Drawbacks
Personal Observations	• Get firsthand knowledge • Information isn't filtered • Intensive coverage of work activities	• Subject to personal biases • Time-consuming • Obtrusive
Statistical Reports	• Easy to visualize • Effective for showing relationships	• Provide limited information • Ignore subjective factors
Oral Reports	• Fast way to get information • Allow for verbal and nonverbal feedback	• Information is filtered • Information can't be documented
Written Reports	• Comprehensive • Formal • Easy to file and retrieve	• Take more time to prepare

The Control Process (cont.)

Step 2: Comparing Actual Performance Against Standard

Determining the **degree of variation** between **actual performance** and the **standard**.

- **Range of variation** – the acceptable parameters of variance between actual performance and the standard.



Acceptable Range of Variation

The Control Process (cont.)

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Step 3: Taking Managerial Action

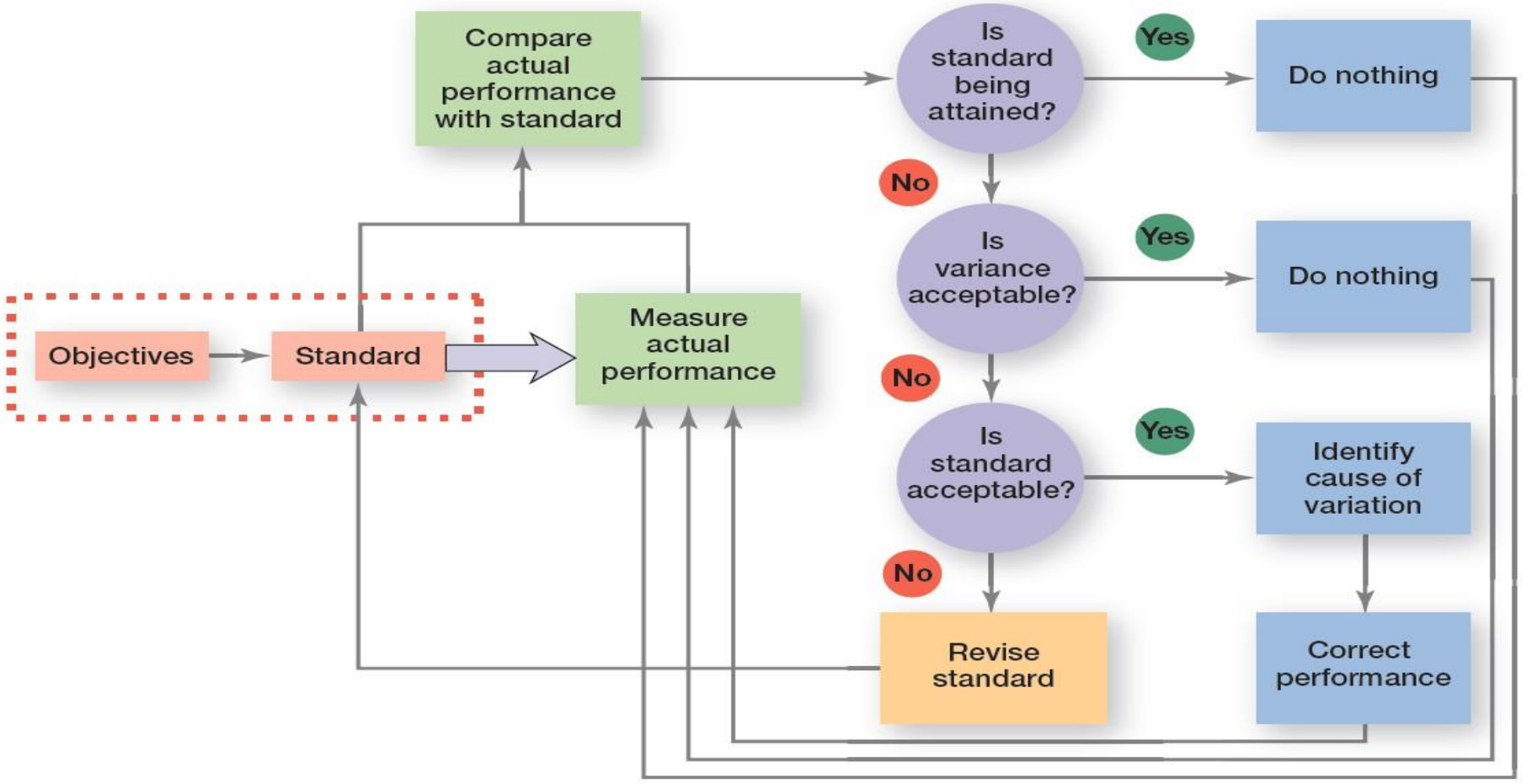
1. Correct Actual Performance

- **Immediate corrective action** - corrective action that corrects problems at once in order to get performance back on track.
- **Basic corrective action** - corrective action that looks at how and why performance deviated before correcting the source of deviation.

2. Revise the Standard

- If performance consistently exceeds the goal, then a manager should look at whether the goal is too easy and needs to be raised.
- Managers must be cautious about revising a standard downward.

Managerial Decisions in the Control Process



What Is Organizational Performance?

- **Performance** – the end result of an activity.
  - **Organizational performance** – the accumulated results of all the organization's work activities.

Measures of Organizational Performance

Productivity

- the **amount** of **goods** or **services** produced **divided** by the **inputs** needed to generate that output.

Effectiveness

- a measure of how appropriate organizational goals are and how well those **goals are being met**.

Industry and **Company Ranking**

Controlling for Employee Performance

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Disciplinary actions - actions taken by a manager to **enforce** the organization's work **standards** and **regulations**.

Delivering Effective Performance Feedback

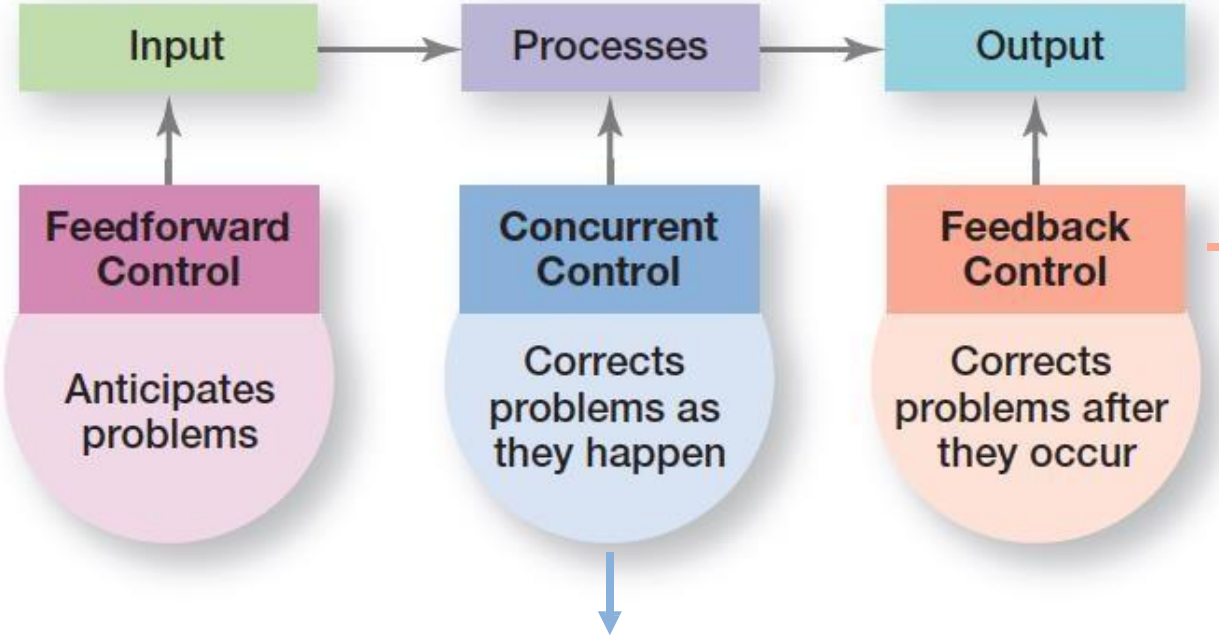
managers need to provide their employees with feedback so that the **employees know where they stand** in terms of their work.

PROBLEM TYPE	EXAMPLES OF EACH
Attendance	Absenteeism, tardiness, abuse of sick leave
On-the-Job Behaviors	Insubordination, failure to use safety devices, alcohol or drug abuse
Dishonesty	Theft, lying to supervisors, falsifying information on employment application or on other organizational forms
Outside Activities	Criminal activities, unauthorized strike activities, working for a competing organization (if no-compete clause is part of employment)

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Feedforward, Concurrent, Feedback Control

Control that takes place before a work activity is done.



Control that takes place after a work activity is done.

Control that takes place while a work activity is in progress.
For example: Management by walking around (A term used to describe when a manager is out in the work area interacting directly with employees.)

Control Tools

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- Financial Control
- Information Control
- Balanced Scorecard
- Benchmarking

Financial Controls

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Ratio analysis

- Liquidity
- Leverage
- Activity
- Profitability

Budget Analysis

- Quantitative standards
- Deviations

Popular Financial Ratios

Objective	Ratio	Calculation	Meaning
Liquidity	Current ratio	$\frac{\text{Current assets}}{\text{Current liabilities}}$	Tests the organization's ability to meet short-term obligations
	Acid test	$\frac{\text{Current assets less inventories}}{\text{Current liabilities}}$	Tests liquidity more accurately when inventories turn over slowly or are difficult to sell
Leverage	Debt to assets	$\frac{\text{Total debt}}{\text{Total assets}}$	The higher the ratio, the more leveraged the organization
	Times interest earned	$\frac{\text{Profits before interest and taxes}}{\text{Total interest charges}}$	Measures how many times the organization is able to meet its interest expenses
Activity	Inventory turnover	$\frac{\text{Sales}}{\text{Inventory}}$	The higher the ratio, the more efficiently inventory assets are used
	Total asset turnover	$\frac{\text{Sales}}{\text{Total assets}}$	The fewer assets used to achieve a given level of sales, the more efficiently management uses the organization's total assets
Profitability	Profit margin on sales	$\frac{\text{Net profit after taxes}}{\text{Total sales}}$	Identifies the profits that are generated
	Return on investment	$\frac{\text{Net profit after taxes}}{\text{Total assets}}$	Measures the efficiency of assets to generate profits

Information Controls

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Managers deal with information controls in two ways:

(1) as a tool to help them control other organizational activities

Management Information System (MIS) – a system used to provide management with needed information on a regular basis.

- Data – an unorganized collection of raw, unanalyzed facts (e.g., an unsorted list of customer names).
- Information – data that has been analyzed and organized such that it has value and relevance to managers.

(2) as an organizational area they need to control.

Because **information is critically important** to everything an organization does, managers must have comprehensive and **secure controls in place to protect** that information.

The Balanced Scorecard

Balanced scorecard – a performance measurement tool that examines more than just the financial perspective.

Measures a company's performance in four areas:

- **Financial**
- **Customer**
- **Internal processes**
- **People/innovation/ growth assets**

Benchmarking of Best Practices

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Benchmarking - the search for the **best practices** among competitors or non-competitors that lead to their superior performance.

Benchmark - the standard of excellence **to measure and compare against**.

Suggestions for Internal Benchmarking

1. *Connect best practices to strategies and goals.* The organization's strategies and goals should dictate what types of best practices might be most valuable to others in the organization.
2. *Identify best practices throughout the organization.* Organizations must have a way to find out what practices have been successful in different work areas and units.
3. *Develop best practices reward and recognition systems.* Individuals must be given an incentive to share their knowledge. The reward system should be built into the organization's culture.
4. *Communicate best practices throughout the organization.* Once best practices have been identified, that information needs to be shared with others in the organization.
5. *Create a best practices knowledge-sharing system.* There needs to be a formal mechanism for organizational members to continue sharing their ideas and best practices.
6. *Nurture best practices on an ongoing basis.* Create an organizational culture that reinforces a "we can learn from everyone" attitude and emphasizes sharing information.

Contemporary Issues in Control

- Adjusting Controls for Cross-Cultural Differences
- Workplace Privacy
- Employee Theft
- Workplace Violence
- Controlling Customer Interactions
- Corporate Governance

Adjusting Controls for Cross-Cultural

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- Control techniques can **be quite different for different countries**.
- Differences are primarily in the **measurement** and **corrective action** steps of the control process.
  - For instance, a company that manufactures apparel in Cambodia might produce the same products at a facility in Scotland. However, the Cambodian facility might be more labor intensive than its Scottish counterpart to take advantage of lower labor costs in Cambodia. This difference makes it *hard to compare, for instance, labor costs per unit*.
- Managers in foreign countries also need to be aware of **constraints on corrective** actions they can take.

Workplace Privacy

Employers can (and do)

- read your e-mail
- tap your telephone
- monitor your work by computer
- store and review computer files
- monitor you in an employee bathroom or dressing room
- track your whereabouts in a company vehicle

Employee Theft

Employee theft any **unauthorized taking** of company property by employees for their **personal use**.

FEEDFORWARD	CONCURRENT	FEEDBACK
Use careful prehiring screening.	Treat employees with respect and dignity.	Make sure employees know when theft or fraud has occurred—not naming names but letting people know this is not acceptable.
Establish specific policies defining theft and fraud and discipline procedures.	Openly communicate the costs of stealing.	Use the services of professional investigators.
Involve employees in writing policies.	Let employees know on a regular basis about their successes in preventing theft and fraud.	Redesign control measures.
Educate and train employees about the policies.	Use video surveillance equipment if conditions warrant.	Evaluate your organization's culture and the relationships of managers and employees.
Have a professional review of your internal security controls.	Install "lock-out" options on computers, telephones, and e-mail. Use corporate hotlines for reporting incidences. Set a good example.	

Controlling Workplace Violence

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Feedforward	Concurrent	Feedback
Use MBWA (managing by walking around) to identify potential problems; observe how employees treat and interact with each other.	Ensure management commitment to functional, not dysfunctional, work environments.	Communicate openly about incidences and what's being done.
Provide employee assistance programs (EAPs) to help employees with behavioral problems.	Allow employees or work groups to "grieve" during periods of major organizational change.	Investigate incidences and take appropriate action.
Enforce organizational policy that any workplace rage, aggression, or violence will not be tolerated.	Be a good role model in how you treat others.	Review company policies and change, if necessary.

Feedforward	Concurrent	Feedback
Use careful prehiring screening.	Use corporate hotlines or some other mechanism for reporting and investigating incidences.	
Never ignore threats.	Use quick and decisive intervention.	
Train employees about how to avoid danger if situation arises.	Get expert professional assistance if violence erupts.	
Clearly communicate policies to employees.	Provide necessary equipment or procedures for dealing with violent situations (cell phones, alarm system, code names or phrases, and so forth).	

Workplace Violence – In the US, some 2 million American workers are victims of some form of workplace violence.

Controlling Customer Interactions

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Service profit chain - the service sequence from **employees to customers to profit**.

The company's **strategy** and **service delivery system influence** how **employees deal with customers**; that is, how productive they are in providing service and the quality of that service.

Example. Southwest Airlines, which is the most consistently profitable U.S. airline (the year 2015 marked 43 straight years of profitable). Its **customers are fiercely loyal** because the company's **operating strategy** (hiring, training, rewards and recognition, teamwork, and so forth) is built around **customer service**.

Corporate Governance

Corporate Governance – the system used to govern a corporation so that the **interests of corporate owners are protected**.

- **The Role of Boards of Directors** – a group, independent from management, looking out for the interests of shareholders who were not involved in the day-to-day management of the organization.

Referensi

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